SOLVING THE SECOND ORDER DROP

SWIGGY instamart

Product Teardown

User Retentions



COMPANY OVERVIEW

Swiggy Instamart

COMPANY SNAPSHOT

Founded: 2014
HQ: Bengaluru

Pivoted from logistics startup Bundl to India's leading food delivery & quick commerce platform.

What Swiggy sells

- **Food Delivery**
- **Dineout**
- **Instamart**
- **Scenes**
- **Giftables**

MISSION

Elevate the quality of life for the urban consumer by offering unparalleled convenience, one tap at a time.

₹23,053Cr
FY26 revenue (+45% YoY)

$2.1B+
Instamart annualized GOV (~4× in 2yrs)

25.2M
Platform monthly transacting users

~3.9M
Orders per day (food + Instamart)

₹68,900Cr
Market cap (Jun 2026)

How Swiggy makes money

Commission & restaurant fees - take-rate on every food delivery order.

Product margin - markup on Instamart's directly sourced inventory.

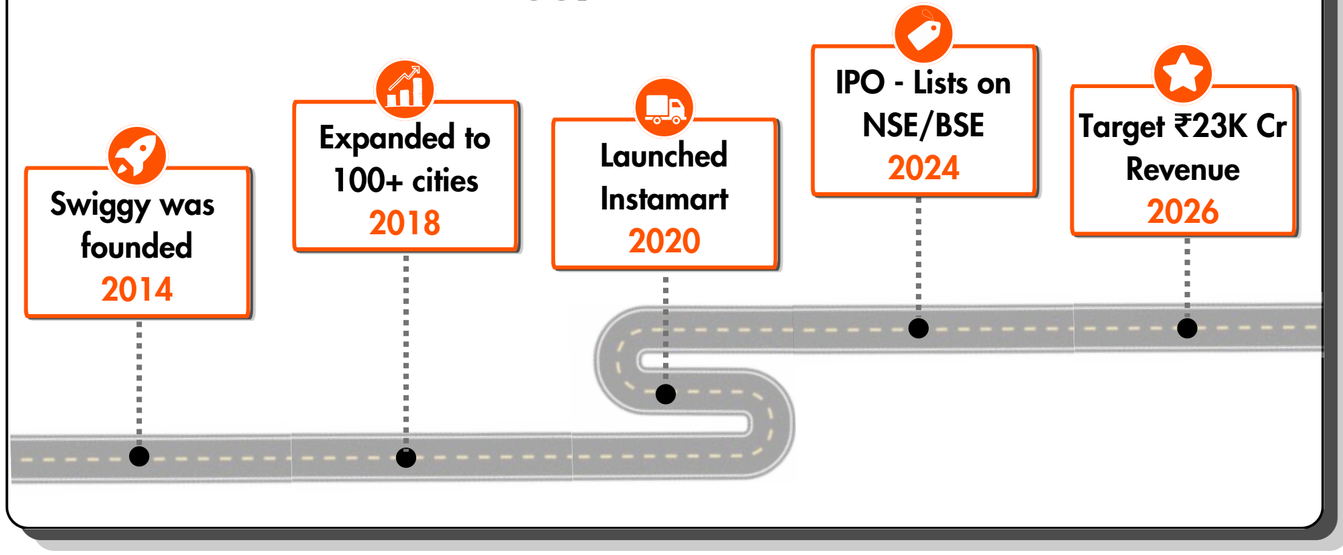
Delivery & surge fees - dynamic pricing by demand and distance.

Platform fee - flat per-order charge across food & Instamart.

Subscriptions - Swiggy One membership for free delivery & perks.

Ads & retail media - restaurant & FMCG brand placements.

Swiggy's Growth Timeline



INSTAMART : The Retention Challenge

Swiggy Instamart

PRODUCT STRATEGY

BUSINESS CONTEXT

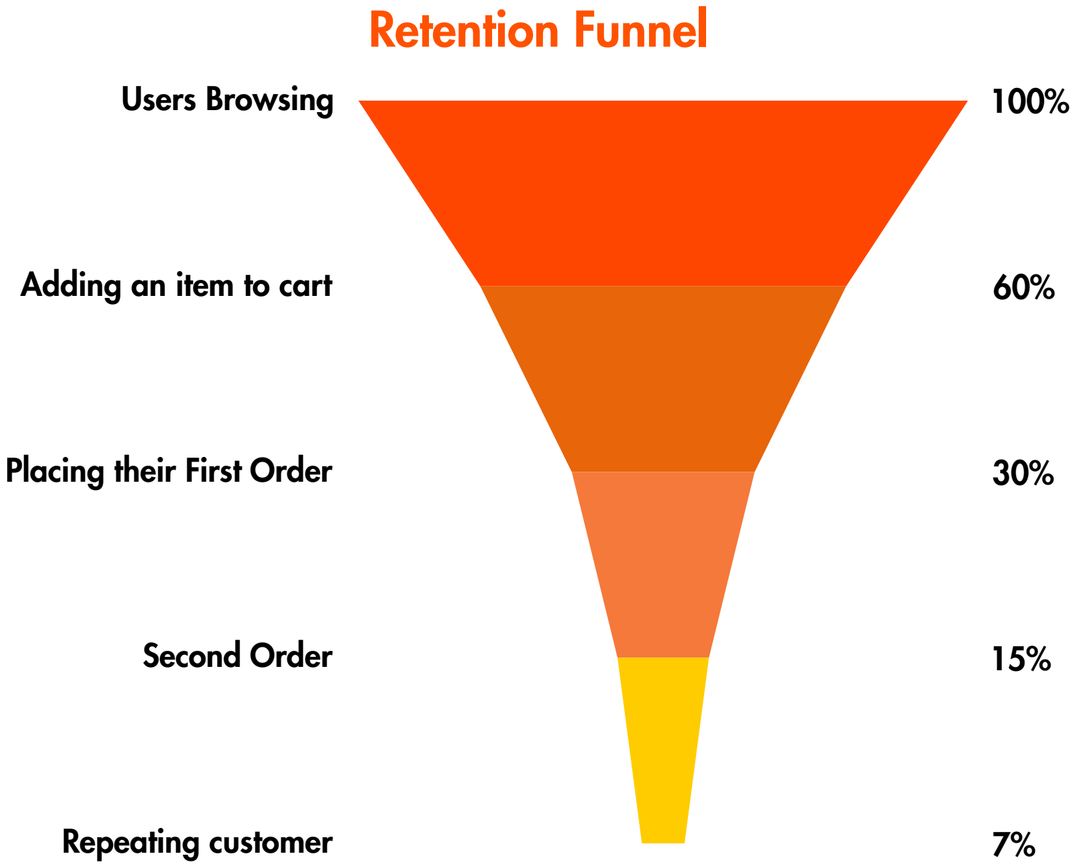
- High acquisition spend
- Low switching cost
- Grocery is habit-driven
- Repeat purchases determine profitability

ABOUT INSTAMART

Launched in August 2020, **Instamart** is India's leading quick commerce platform. Present in over 125+ cities, Instamart uses Swiggy's superior technology and dedicated delivery fleet to bring groceries and other essentials in categories to the doorsteps of Indians in 10 minutes.

THE PROBLEM

Many first-time users fail to develop a repeat purchasing habit, leading to low 30-day retention and reduced customer lifetime value.



Higher Customer Acquisition Cost

Lower Customer Lifetime Value

Users switch to local stores & competitors

OBJECTIVE

Increase second-order conversion within 30 days by identifying

- friction points
- behavioural triggers
- product interventions

USER REASEARCH AND INSIGHTS

Swiggy Instamart

Primary Research

60 Survey Responses + 8 In-depth Interviews

WHAT USERS CONSISTENTLY TOLD US

FIRST ORDER OVERALL PERFORMS WELL

⭐⭐⭐⭐☆ **4.3/5**

- Fast Delivery
- Product Availability
- Easy Checkout

Result

Positive first impression

WHY USERS DON'T RETURN

Rank	Insight	Evidence
1	Local kirana remains default	Mentioned by 70%
2	Delivery fees reduce value	Mentioned by 58%
3	No habit trigger	Mentioned by 54%
4	Competitors remain top-of-mind	Mentioned by 43%



Top Themes from User Feedback (Word Cloud)

INTERVIEW VOICES

> "I only open Instamart when I urgently need something."

> "My local kirana is still my default."

> "I'll pay more if quality stays consistent."

KEY INSIGHT

Instamart wins the first order, but fails to build a repeat grocery habit.
Users are satisfied with the experience; however, offline habits, weak re-engagement triggers, and limited ongoing value prevent second-order conversion.

USER REASEARCH AND INSIGHTS

Swiggy Instamart

30% Users using Swiggy as as well as Instamart

Increases App Stickiness

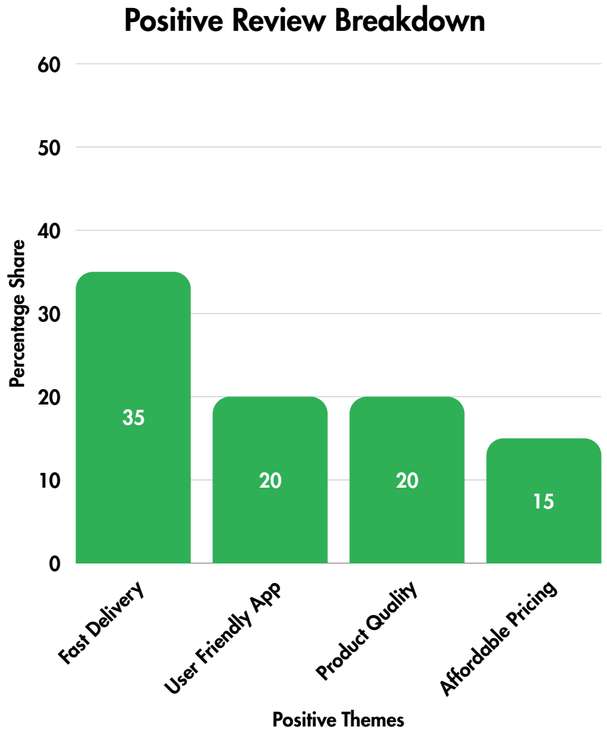
32.8% YOY growth to ₹ 700

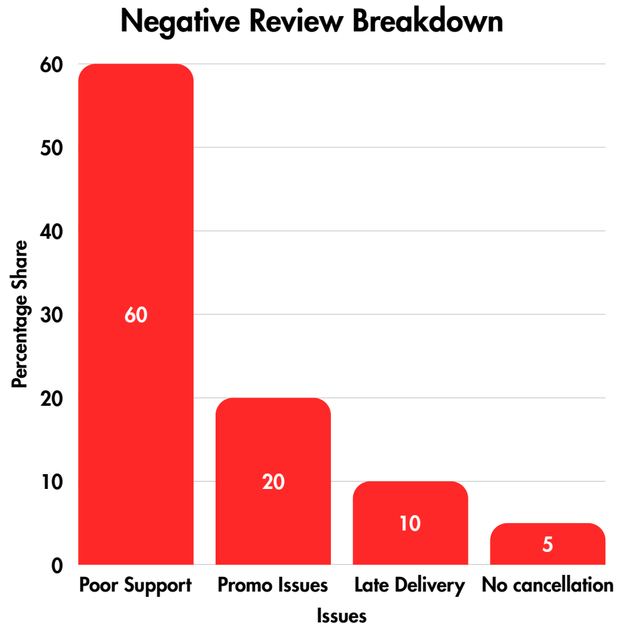
Signals stronger user engagement

5.55% Decline in Daily Orders per Dark Store from 1260 to 1190

Highlights expansion oppurtunity

User Review Analysis





KEY INSIGHTS

Speed builds loyalty Fast delivery is the strongest repeat purchase driver.

Trust breaks post-purchase. Complaints emerge after checkout, not before.

Recovery > Resolution. Poor refunds and support amplify fulfilment errors.

Small bugs, big impact. Promo failures erode user trust.

Ecosystem drives stickiness. Cross-platform users exhibit stronger engagement.

Sources: Swiggy Annual Report FY 25 | Swiggy Business Presentation Q4FY'25 | Swiggy Press Release | Industry Reports | User Reviews | Reddit Discussions

WHY USERS DRIFT

Swiggy Instamart

The battle is not for the first order. The battle is to become the **default grocery app.**

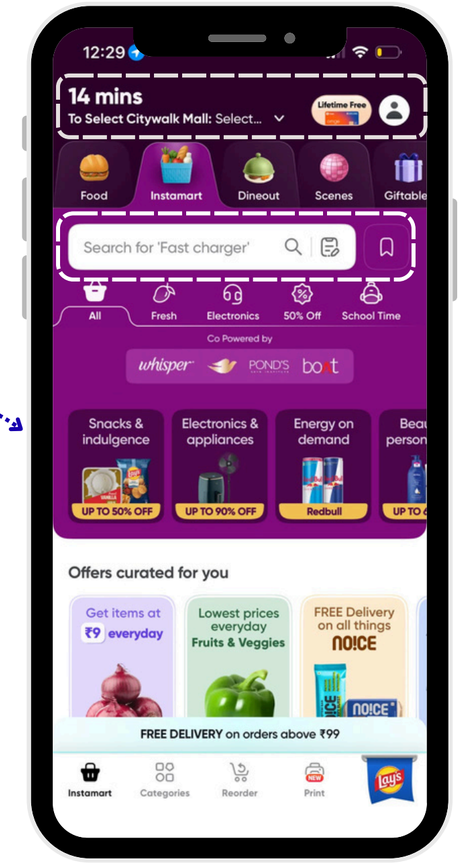
Competitor	Share / Scale	Wins Because / Strengths	Current Gap	Owns
Local Kirana	**Major share of India's vast grocery market**	• Deep-rooted personal trust • Interest-free 'khata' credit • Zero decision effort • Instant issue resolution & easy replacements	Incosistent delivery logistics	***Owns the high-frequency ordering market***
Blinkit	**~45-50% share · 2,243 dark stores**	• Densest network - 1,954+ stores • First to hit EBITDA breakeven • ~90% first-party inventory • Densest dark store network (1,950+ stores)	Premium delivery/Surge pricing	***Owns reliable, always-available convenience***
Zepto	**~21-28% share · 1,139 dark stores**	• Fastest growth ~119.5% CAGR • Densification - 1.83 km avg. delivery • ₹1,389 Cr FY26 ad spend	Inconsistent fresh produce quality	***Owns discount-driven trial; retention unproven***
Instamart	**~20-27% share · 1,143 dark stores**	• Cross-sell from 50M+ Swiggy users • AOV up 33% YoY to ₹700 • Contribution margin still -1.1% • No habit loop of its own	**Low daily grocery habituation and fierce ecocystem competition**	***Owns food-delivery habit, not yet grocery habit***

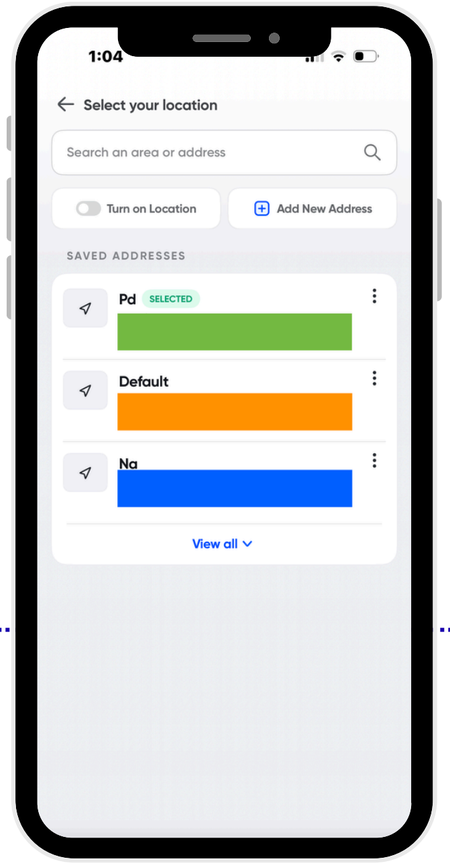
Sources: Swiggy Annual Report FY 25 | Zepto Annual Report FY'25 | Blinkit Annual report | Industry Reports | Redsheer | Mint

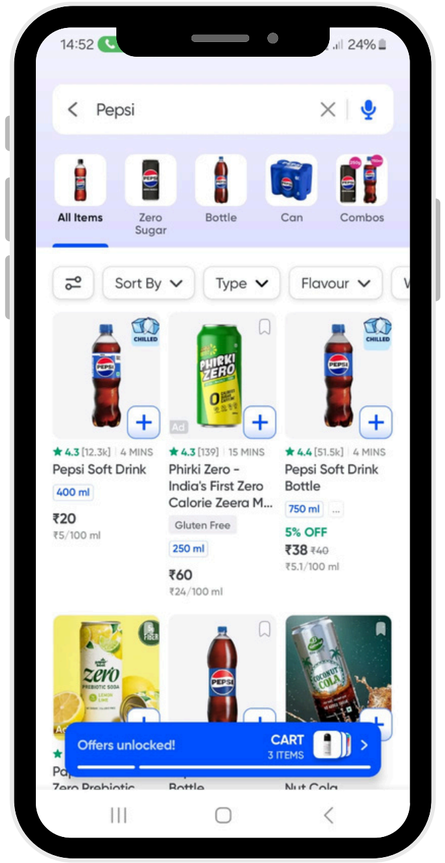
USER JOURNEY

Swiggy Instamart









Customer experience

Tabs



Swiggy Opening Screen



Homepage (Lacks Personalised Recommendations)



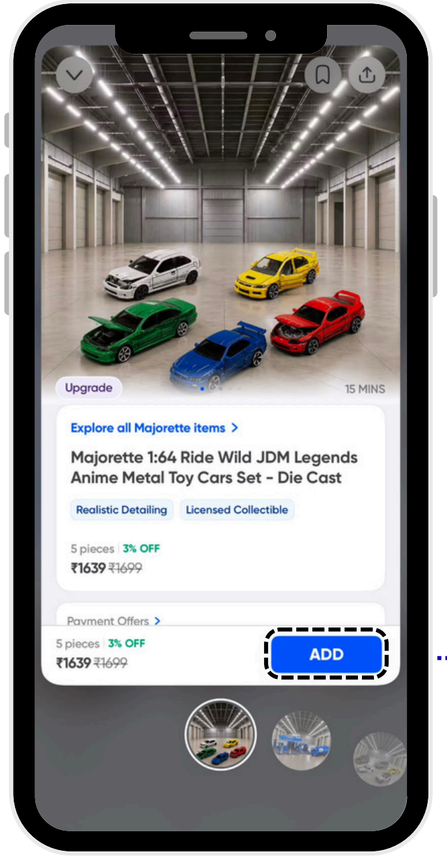
Selecting Preferred Location

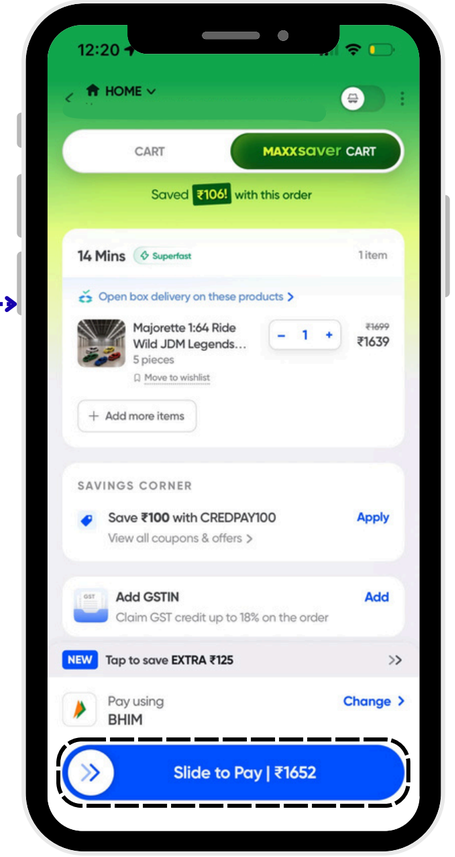


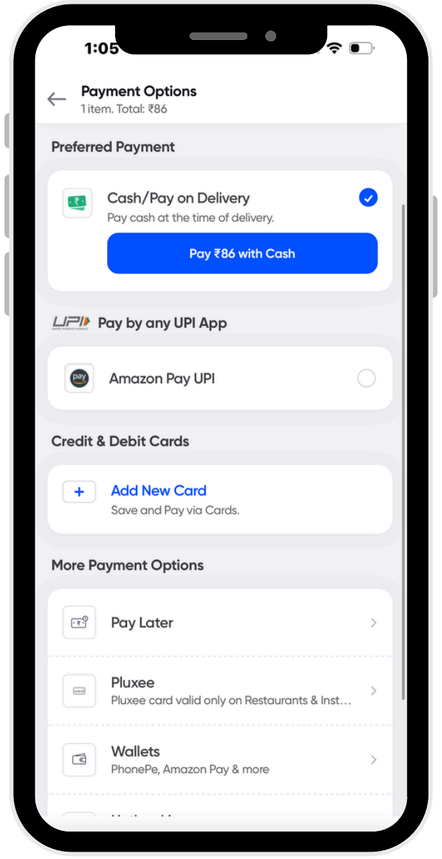
Browsing

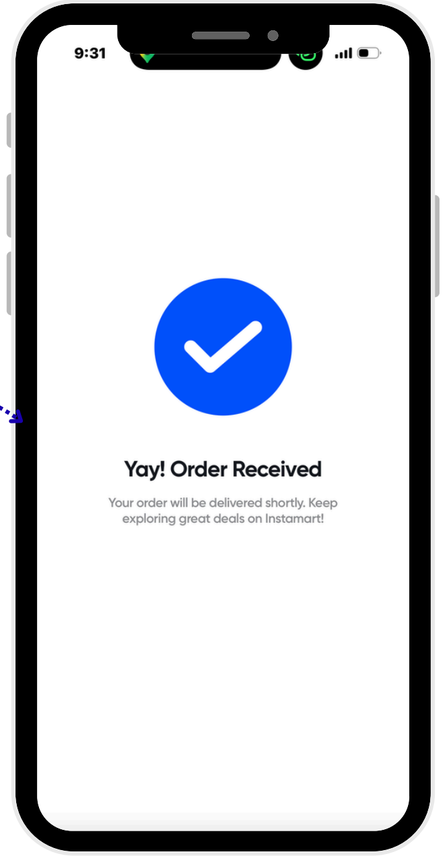
USER JOURNEY

Swiggy Instamart











Customer can select a product to check for more details



CART (Users can apply Coupons or Vouchers)



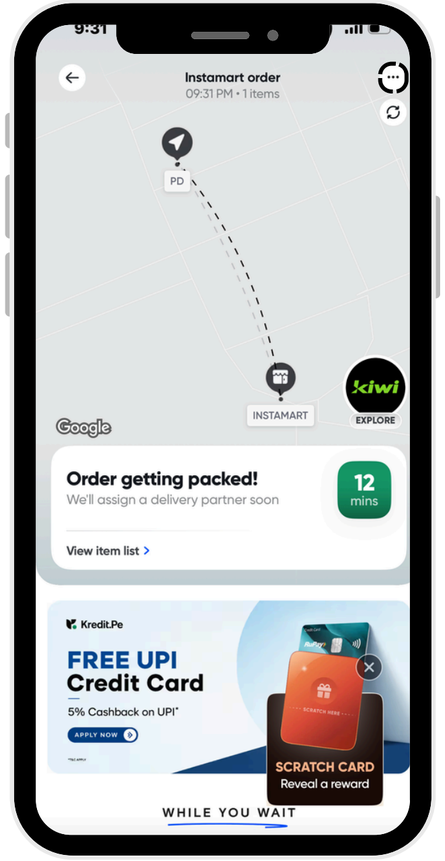
Selecting Payment Method

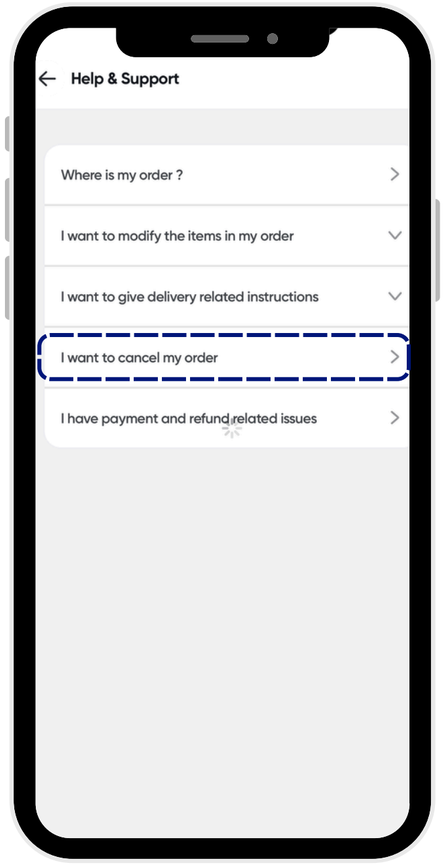


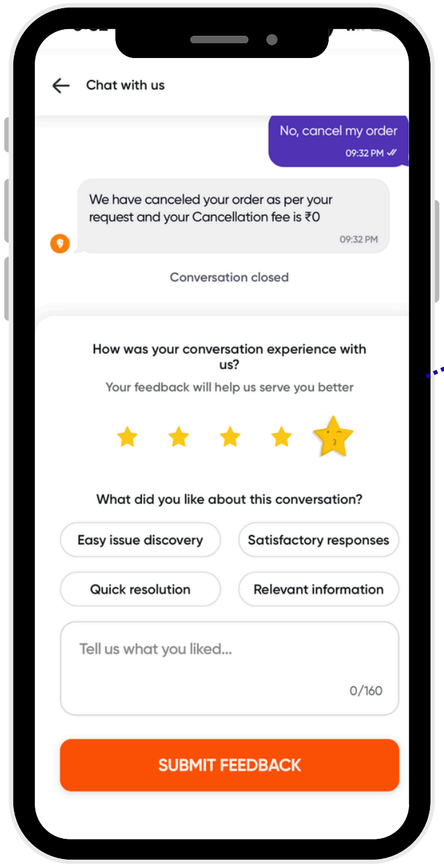
Order Completed

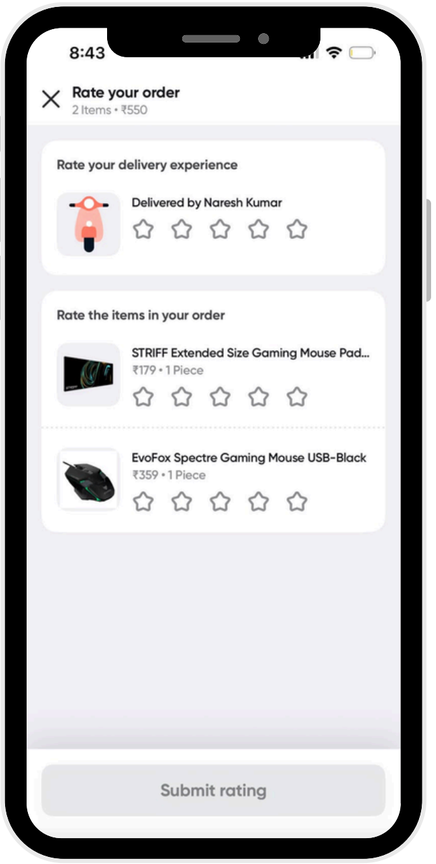
USER JOURNEY

Swiggy Instamart











Track Order (ETA might be inaccurate)



Help & Support



Customer Support



Rate Order

USER PERSONA A

Swiggy Instamart



The Swiggy Loyalist

HIGH POTENTIAL

AARAV SHARMA

"I already use Swiggy every day. Groceries just never cross my mind."

PROFILE

AGE	25
OCCUPATION	Software Engineer at Accenture
LOCATION	Bangalore
INCOME	₹13 LPA

PSYCHOGRAPHICS

Mindset

- Time is Value and Efforts
- Can adapt to changes
- Believes Technology shapes future

Shopping Behaviour

- Buys recurring essentials regularly
- Has no fixed grocery patterns
- Prefers Discounts and Rewards

LIFESTYLE

- Busy professional with limited time for household tasks
- Relies heavily on digital platforms for everyday convenience
- Prefers solutions that reduce decision-making and effort
- Uses Swiggy frequently as part of daily routine

NEEDS FROM INSTAMART

- Seamless integration with existing Swiggy habits
- Timely reminders and contextual nudges
- Better Customer care support
- Faster discovery of recurring essentials

PAIN POINTS

- **Instamart is not on top-of-mind:** No strong trigger reminds users that groceries are available
- **No post-order engagement:** After first purchase, there is no reason to return
- **Grocery remains a disconnected experience:** Food habit and grocery habit exist separately

USER PERSONA B

Swiggy Instamart



The Habit Shopper

HABIT DRIVEN

NEHA VERMA

"My local kirana already knows what I need."

PROFILE

AGE	34
OCCUPATION	Assistant Manager
LOCATION	Mumbai
INCOME	₹24 LPA

NEEDS FROM INSTAMART

- Trust comparable to local kirana stores
- Predictable grocery replenishment
- Familiar shopping experience
- Stronger value perception

PSYCHOGRAPHICS

Mindset

- Trust matters more than convenience
- Avoids changing established routines
- Believes local stores understand their needs

Shopping Behaviour

- Buys recurring essentials regularly
- Has fixed grocery patterns
- Prefers known quality over experimentation

LIFESTYLE

- Follows predictable household routines
- Plans grocery purchases around family needs
- Values reliability and familiarity
- Maintains long-term relationships with local stores

PAIN POINTS

- **Local kirana remains the default choice:** Existing relationship creates strong retention
- **Habit outweighs convenience:** Users deny to change routine for marginal benefits
- **Platform fees reduce perceived value:** Online grocery feels less economical than offline

CUT THROUGH PRIORITISATION

Swiggy Instamart

We have 4 pain points for Instamart retention. Picking exactly **ONE** to focus on shows we can think, not just list.

Problem	Goal Alignment	Severity	User Impact	Pick?
Delivery Issue	High breaks the core 10-15 min promise	High most common complaint, peak hours	Med Users switch to competitors for immediate need	–
Need to build cart from scratch	High Friction at the most critical retention moment	Med Returning users face max effort for repeat orders	Med Drives a drop in CSAT(Customer satisfaction)	–
Complex Refund Process	Med hurts sentiment, not the trigger	Med only surfaces after another issue	High HIghly likely to uninstall the app	–
Weak T.O.M.A. for Instamart	High gates whether users open us at all	High underlies every single reorder decision	High Low organic app opens, heavily reliant on ads.	■ YES

DECISION

We'll prioritise **Weak T.O.M.A. for Instamart.** It gates whether users open the app at all and underlies every single reorder decision the highest-leverage lever for retention, even though it needs sustained investment in habit loops, notifications and streaks

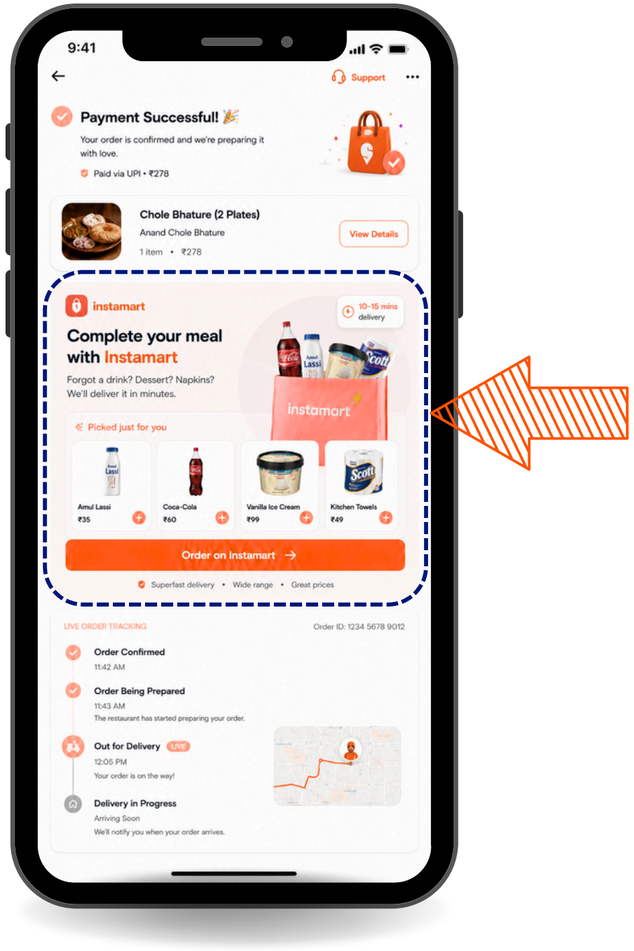
SOLUTIONS EXPLAINED

Swiggy Instamart

01 THE BASELINE FIX

WHERE DOES IT LIE IN THE USER JOURNEY

JUST AFTER THE ORDER IS PLACED



How does the solution work ?

This solution offers a cross-selling strategy that leverages the existing food ordering journey to drive adoption of Instamart with minimal user friction. Instead of asking users to separately browse Instamart, it surfaces relevant grocery items at the point of checkout when purchase intent is already high.

One-tap Add-to-Cart

- Eliminates the need to search for products.
- Instantly adds selected items to the Instamart cart, reducing friction and increasing conversion.

Possible Impact

Bridges the gap between two different services and increases overall retention of customers respecting their convenience

Higher Instamart adoption as more food-ordering customers are introduced to the grocery service.

PRIORITY SOLUTION

Swiggy Instamart

02 THE HABIT BUILDER

WHERE DOES IT LIE IN THE USER JOURNEY

AFTER ORDER (RETENTION)

How does the solution work ?

- This solution introduces a streak-based reward system that encourages users to shop on Instamart consistently.
- Every consecutive weekly purchase extends the user's streak, increasing progress towards unlocking cashback on when there streak reaches the **hotspot**.
- Swiggy Cash replaces all other forms of reward points on Swiggy, making it redeemable across Food Delivery, Instamart, Dineout, Scenes and Giftables.
- By rewarding repeat behavior, the feature motivates users to make Instamart a regular shopping habit rather than an occasional choice.
- Reminder notifications encourage users before their streak expires.

What Stands Out ?

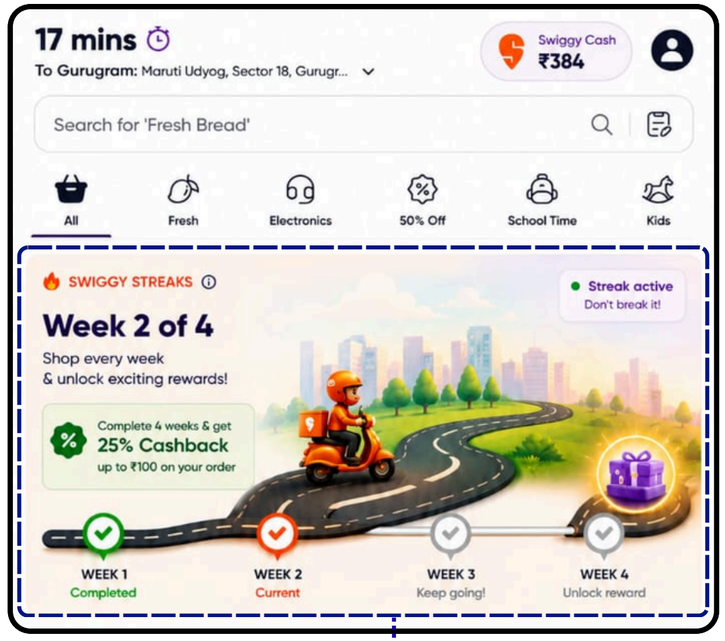
Unlike coupon-based discounts that drive one-time purchases, this solution creates long-term habits by rewarding consistency. The ecosystem-wide Swiggy Cash further increases engagement across multiple Swiggy services, making the reward more valuable than competitor-specific incentives.

Higher repeat purchase as users are incentivised to maintain shopping streaks and build long-term habits.

STREAKS UI/UX CHANGES

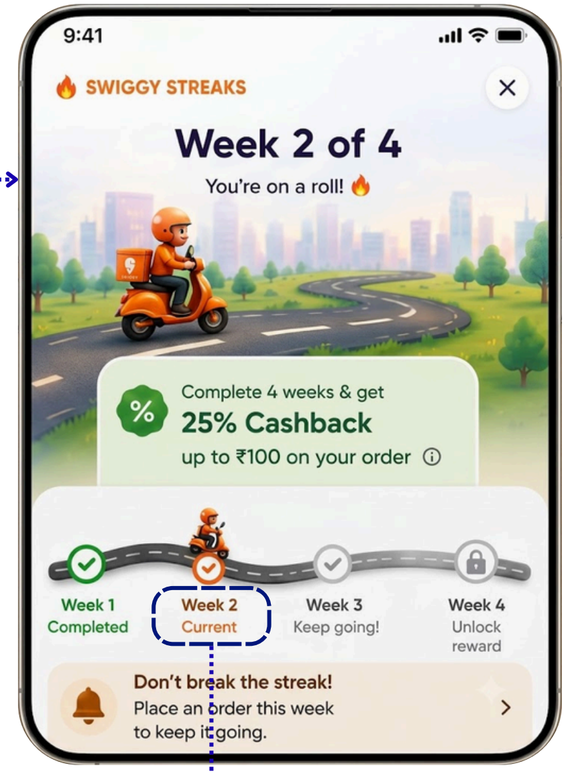
Swiggy Instamart

1. Streak Details (Homepage)



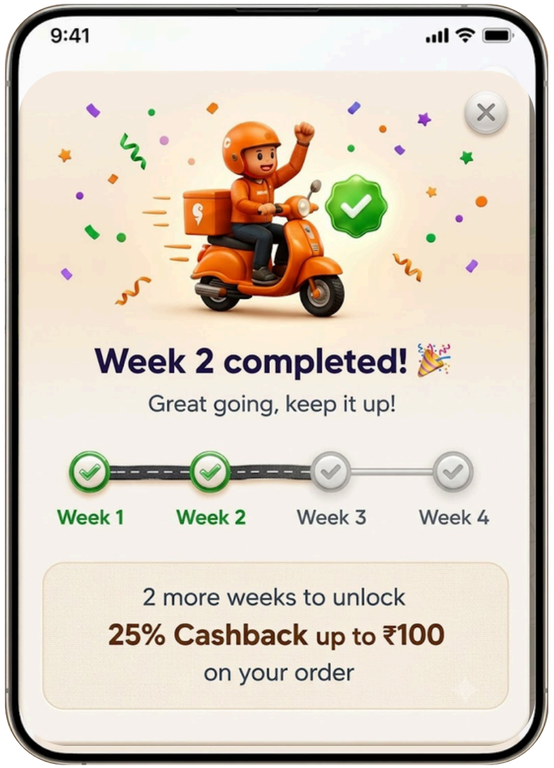
Live Tracking of repeat orders and an incentive roadmap to engage users to the app

2. Default View



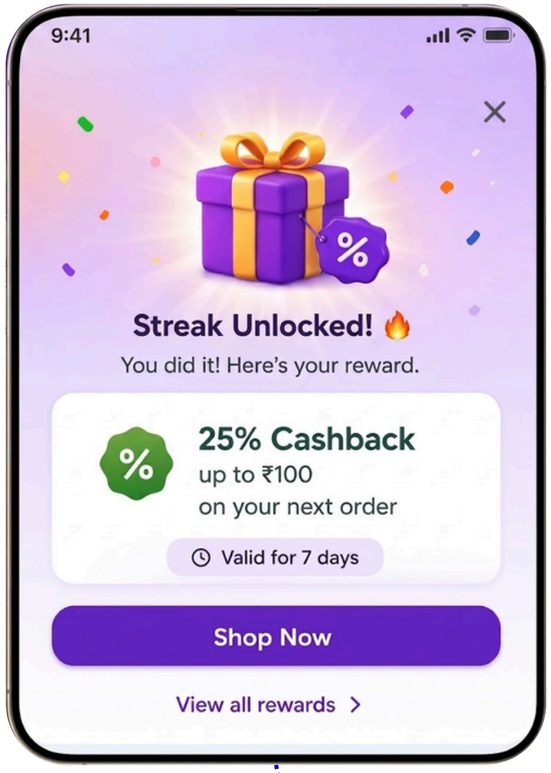
Tracking current progress by using streaks

3. Journey Tracker



Creates an urgency for the user and increases engagement

4. Rewards

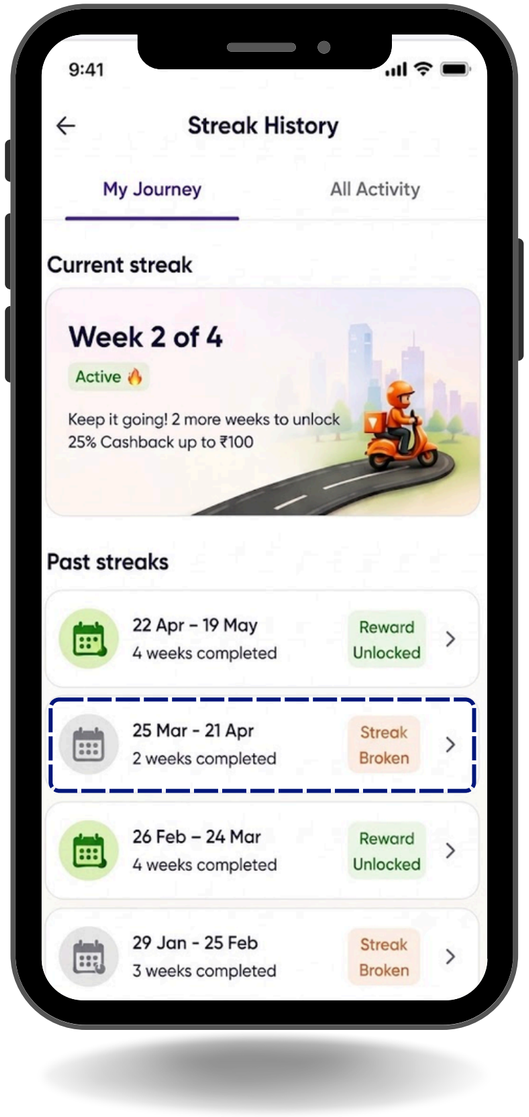


Customers gets rewarded with incentives based on their weekly orders

STREAKS UI/UX CHANGES

Swiggy Instamart

5. Streak History

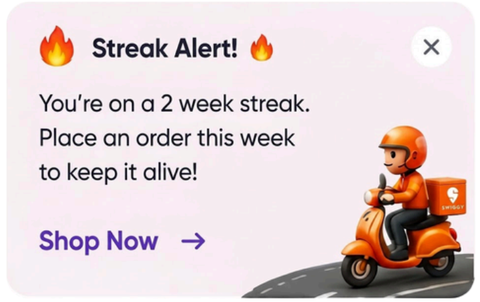


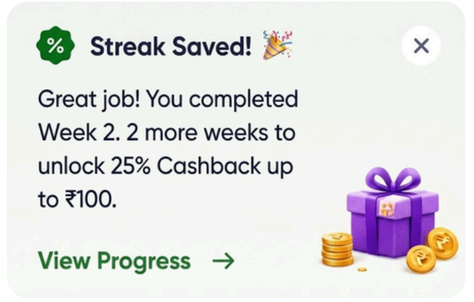
Allows instamart to stay on top of the mind

History allows users to know their past streaks and where they broke

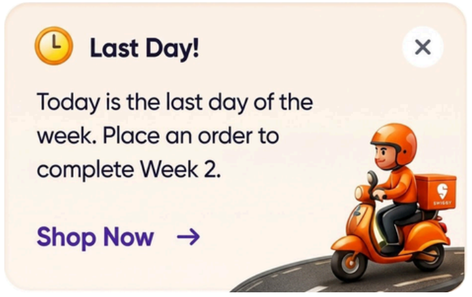
Creates instant urgency and increase orders

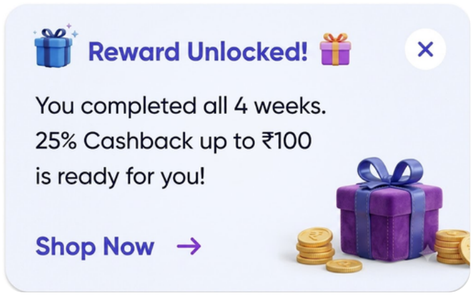
6. Streak Reminders





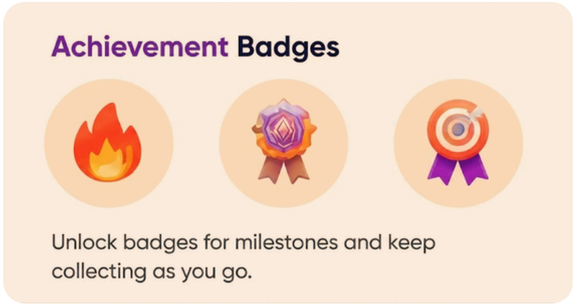
The user engages and gets a more personalised experience

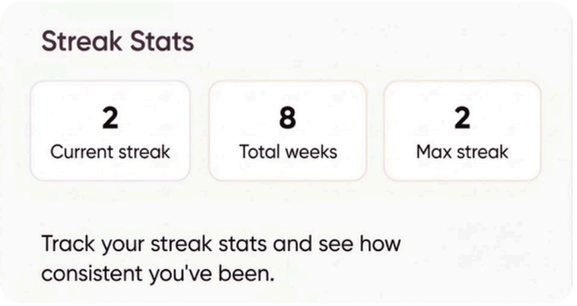




Reward gives instant dopamine and increases user retentions

7. Other Ideas that can be integrated within STREAKS







LONG TERM SOLUTION

Swiggy Instamart

03 THE MOONSHOT

WHERE DOES IT LIE IN THE USER JOURNEY

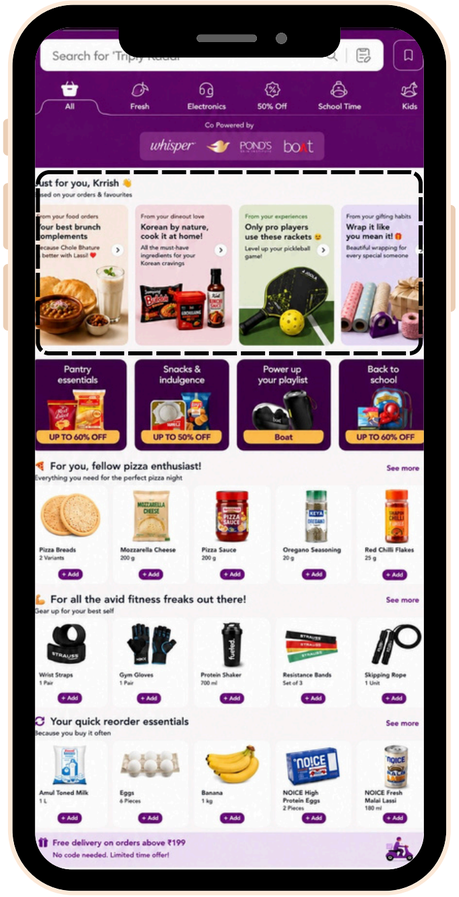
HOMEPAGE

How does the solution work ?

This solution transforms the Instamart homepage into a fully AI-personalized experience. Instead of showing the same interface to every user, the homepage dynamically adapts based on food orders, grocery purchases, dineout activity, gifting behavior, seasonal events, and browsing history. The AI predicts what users are most likely to need and prioritises those products, categories, and offers.

AI-Powered Personalization

- Homepage recommendations update in real time based on user behavior.
- Personalized categories, products, and offers are displayed first.
- AI identifies recurring purchase patterns and predicts future needs.



Higher engagement, increased conversions, and stronger long-term retention through a highly personalized shopping experience

EVALUATING TRADEOFFS

Swiggy Instamart

	THE BASELINE FIX	STREAKS	MOONSHOT
FEASIBILITY	MEDIUM	HIGH	LOW
IMPACT	MEDIUM	HIGH	HIGH
RISK	MEDIUM	LOW	LOW
COST EFFORT	MEDIUM	MEDIUM	HIGH

The assessment helps distinguish the strengths and limitations of each approach.

KEY INSIGHTS

- The **STREAKS** offers the strongest overall tradeoff high feasibility and impact with low risk and low implementation effort, making it the best near-term priority.
- The Moonshot promises high impact but requires significant effort, while the Baseline Fix is a balanced medium-impact, medium-effort option for incremental improvements.

STREAKS - METRICS TREE

Swiggy Instamart

NORTH STAR METRIC

30 - Day Repeat Purchase Rate

L1 METRICS

Second Order Conversion Rate
% of new users placing a second order within 30 days.

Streak Retention Rate
% of users who maintain their streak until reaching the first reward milestone.

Median Days to Second Order
Average number of days taken for users to place their second order.

L2 METRICS

Reminder Notification CTR
% of users clicking streak reminder notifications.

Reward Claim Rate
% of eligible users claiming their Swiggy Cash after completing the required streak.

Hotspot Progress Rate
% of users clicking streak reminder notifications.

KEY INSIGHT
A successful streak feature should encourage users to return consistently, shorten the time to their second purchase, and ultimately improve repeat purchase behavior.

THANK YOU

“Winning the second order isn’t about another discount.

It’s about becoming the customer’s grocery habit.”

PROJECT STREAKS

Transforming Swiggy’s food ecosystem into a long-term grocery retention engine.

Made By:

Ishan Singh: Linkedin